

DEEPAK NITRITE LIMITED

Concall Date: 7 May 2021



Revenue: ₹1,463.2 cr (▲ 38.6%) Net Profit: ₹290.1 cr (▲ 68.4%)

FINANCIAL HIGHLIGHTS

PARTICULARS	Q4 FY21 (₹ cr)	Q4 FY20 (₹ cr)	Change % YoY	FY21 (₹ cr)	FY20 (₹ cr)	Change % YoY
Revenue from Operations	1,463	1,056	▲ 38.6%	4,360	4,230	▲ 3.1%
Net Profit	290	172	▲ 68.4%	776	611	▲ 27.0%
EBITDA	₹461 cr (Q4)			₹1,269 cr (FY21)		
EBITDA Margin	31% (Q4)			29% (FY21)		
Net Debt to Equity Ratio	0.15x (as on 31 st March, 2021)					
Dividend	₹5.5/share (FY21)					

- **Revenue from operations** was driven by volume and realization gains in the **Phenolics** business, that witnessed favourable demand in the industries it operates. It was also supported by the **Basic Chemicals** and **Fine & Speciality Chemicals segment** which witnessed volume growth and price firming.
- **EBITDA margins** during the quarter **improved** on account of positive pricing scenario, increased plant productivity and higher operational leverage.
- **PBT (profit before tax)** during the quarter improved due to lower interest rates as a result of the substantial debt reduction over the last year.
- The company has been continuously **reducing its debt** through cash flows. The company **repaid** ~₹265 crore during the year. It also **invested its surplus funds** of ₹125.6 crore in **liquid funds**.
- The **dividend** for FY21 includes a **special dividend** of ₹1 per share to mark its 50th year of operation.

SEGMENT PERFORMANCE

BASIC CHEMICALS

- **Revenue** grew by 8.6% YoY in Q4 FY21 and stood at ₹245.2 crore. **EBIT (earnings before interest and tax)** expanded to ₹70.7 crore with a margin of 29.0%.
- This was driven by **strong volume growth** as a result of a sharp **rebound in key end-user industries** along with **higher realizations** for specific products.
- The growth in the segment was achieved despite a significant **increase in the raw material prices**, which the company mostly passed on to its customers.

FINE & SPECIALTY CHEMICALS

- This segment reported a 30.4% YoY growth in **revenue** to ₹206.0 crore in Q4 FY21, backed by **volume increment** of 15.0%. **EBIT** improved by 57.0% YoY to ₹79.7 crore with a margin of 39.0%.

PERFORMANCE PRODUCTS

- This segment reported a reduced **revenue** of ₹86.7 crore in Q4 FY21. Due to strong demand, this segment registered an **improvement in volume** by 12.0% YoY.

DEEPAK PHENOLICS

- **Revenue** from this segment was ₹937.5 crore in Q4 FY21, a growth of 76.6% YoY. **EBIT** expanded by 319.5% YoY with a margin of 28.5%.
- Plant efficiency culminated the **utilization levels** to be above 115.0% of the defined capacity v/s 98.0% last year.
- As a result of healthy demand and firm realizations during the quarter, **revenue** from **Phenol** and **Acetone** increased significantly from last year's levels.

UPDATES

- **Land development** in the newly acquired **Dahej site** for 55 acre out of a total of 127 acre, is nearing completion. This site will support capacity enhancement for key products for the standalone business and would be developed in stages.
- With the distant shift in the chemical supply chain towards a **China plus one policy**, the management believes that it has the potential to capitalise on this opportunity.
- The company leveraged the **optimal utilisation at its plants** by participating in both the domestic and export market, thereby driving earnings.
- The **asset turnover** of the company is usually in the range of 1.75x-2x.
- **Capex** (capital expenditure) in FY21 included: ~₹200 crore towards brownfield expansions; ~₹150-₹200 crore towards Deepak Nitrite and ~₹150 crore towards the Phenolics business.

FUTURE ROADMAP

- The management is confident **to continue the growth in all its segments** fuelled by increase in capacities from brownfield expansions, new product from the greenfield capex and strong demand from the target end-segments.
- Given the company is repaying its debts, **interest costs** are expected to reduce going forward.
- With the power plant being underway to be commissioned by H2 FY22, the **power cost** is expected to reduce further.
- **Capex** for FY22 will be ~₹300 crore for the Deepak Nitrite business and the company is yet to announce the capex for the Phenolics business.

SEBI Registration no: IHN3000007493

Disclaimer:

This document has been prepared to provide a brief summary of the conference call conducted by the companies and is intended to be used for learning enhancements. Nothing contained herein should be construed as a recommendation on any stock or sector.